

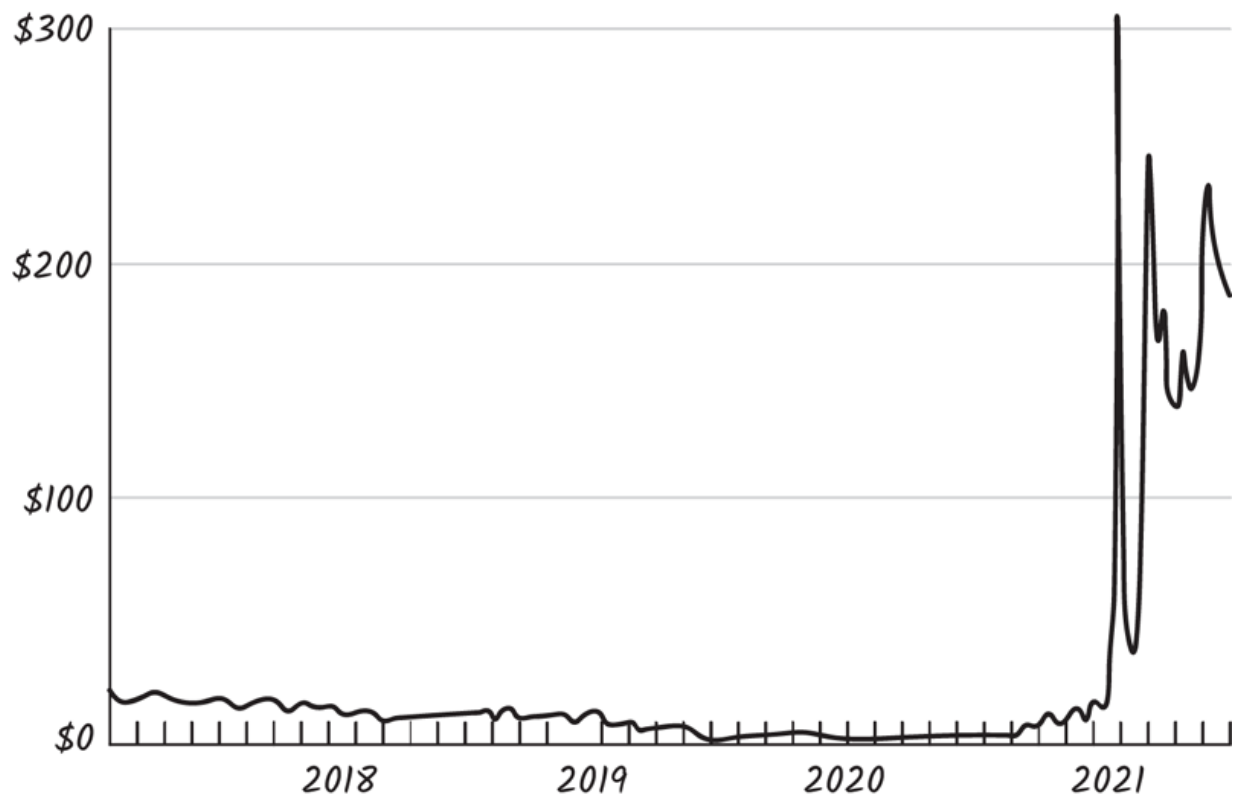


Figure 9.3: GameStop's wild ride

*Source:* Based on data source from GameStop - Stock Price History | GME. Macrotrends LLC.

Seeing friends and family have success with a particular stock can provide investors with an overly heightened sense of confidence about the investment.

A recent New Zealand study by the Financial Markets Authority (FMA) found 31 per cent of investors had bought stocks on the basis of FOMO, and that 27 per cent invested based on a recommendation from someone they know, without doing their own research. They didn't want to miss out and jumped on the investment. The FMA were alarmed to say the least, and started a country-wide campaign to educate investors about the dangers of FOMO investing.